STRATEGY TRACK | ROUND 2

FROM CARD TO COMPANION

TEAM NAME: Thinkers

PARTICIPANT NAME	EMAIL ID (Official)	INSTITUTE
Vansh Bhandari	v.bhandari@iitg.ac.in	IIT Guwahati
Muskan	muskan.4063@iitg.ac.in	IIT Guwahati
Shlok Suraiya	s.shlok@iitg.ac.in	IIT Guwahati

OPPORTUNITY DIAGNOSIS

Insights From Our Own Conducted Surveys

Benefits Left Unrealized		Why Benefits are being Unused		Implication
68%	Did not use Golf	41.7%	Benefit didn't fit their lifestyle	**Relevance Gap:** Benefits don't fit every customer
48%	Did not use Airport Transfers	29.2%	Too much effort to plan around	Potential benefit value ≠ realized value
48%	Did not use Travel Insurance	29.2%	Forgot it existed	**Wallet Share:** Unused value creates room for competitors

Root Cause Analysis

Benefits not being utilized

↓

How & Where is Value Leaking?

↓

VISIBILITY GAP
DON'T KNOW / FORGET
29.2%

RELEVANCE GAP
DOESN'T FIT LIFESTYLE
41.7%

LINK TO SURVEY

What is happening in the market (June'25 → June'26 | RBI data)

↓

INDIA Credit Card Market
+9.6% Card Base

AMEX
-7.5% Card Base

↓

AMEX Spend Per Card +25.6%
Smaller base is generating significantly more spend

↓

Value is not fully realised. The opportunity is not MORE benefits.
It's more RELEVANT benefits.

What premium means today? (VISA)

↓

42% Beyond Travel

80%
Affluent Indians dine at premium establishments

Don't replace travel. Personalize everything around it

Identified Problem

The Premier Card is built for the 4 days a year our members travel not the 361 they live. Travel and airport benefits carry the card's value proposition, but less than a quarter of member wallet sits in lifestyle categories. The rest in dining, retail, mobility, health, earns points but unlocks nothing. Perks like golf go unredeemed for structural reasons, not disinterest. And with no view of what's left on the card, members can't see the value they've already paid for.

Opportunity

Lifestyle remains an underpenetrated spend category for AMEX cardmembers.

A significant lifestyle wallet remains untapped beyond AMEX's travel-led proposition.

Many existing card benefits remain unused, limiting their value to customers.

RELEVANCE
41.7% cited lifestyle mismatch. Value depends on customer relevance, not benefit breadth.

WALLET
Premium customers already optimize across cards. Unused Amex value can leave room for competitors

REALIZATION
39.1% of respondents felt they received ≤ annual-fee value excluding base rewards. The benefit portfolio should adapt to the customer's needs.

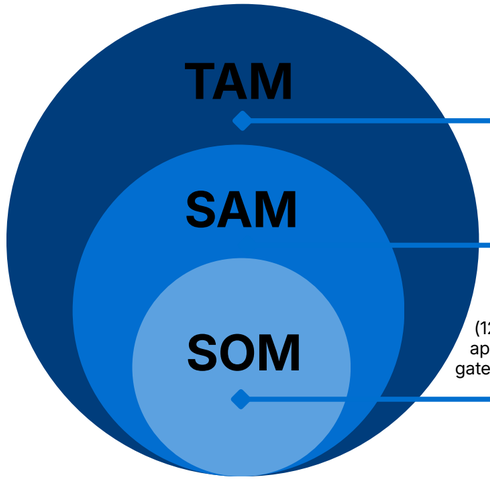
THE ONE OPPORTUNITY
"Make premium benefits fit the customer"

Source: Amex Annual Report

OPPORTUNITY SIZING

Market Sizing

TAM | SAM | SOM



1.05 Cr Affluent Individuals (₹25L+ HNI across India)

5.6 Lakh Premium Cards (Entire ₹50K+ Card Segment across all issuers in India)

70,000 Cards
(12.5% of SAM ~32.5% of the 2.15L open-application segment, excluding 3.45L cards gated behind bank salary/wealth relationships.)

Why SAM is this narrow, and why that's good news, not bad:

Card	Fee	Access	Verdict
The Premium Card	₹50–70K	Open	The only reachable card in the band
HDFC Infinia	₹12,500	Invite-only	Mass-premium tier; 1/5th the price
Axis Primus	₹3,000,000	Invite-only	UHNW segment; 5x–6x our fee
Centurion (Amex)	Exclusive	Invite-only	Internal aspirational upsell path

There is **no open-application card between ₹50K and ₹3L except ours (The given card and Amex Platinum Charge Card)**. We don't have an acquisition problem; we have a **portfolio activation problem.**

Sources:
https://www.sec.gov/Archives/edgar/data/4962/000000496226000080/axp-20251231.htm
https://rbi.org.in/scripts/ATMView.aspx

The Asset We're Sizing

₹1,50,630 unfelt gap/card × 40,000 cards

₹603 Cr

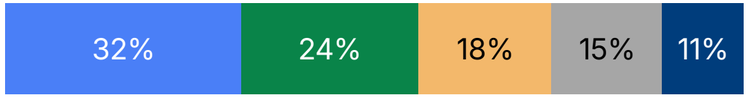
TOTAL PORTFOLIO VALUE

At **30% conversion** we unlock

₹181 Cr

MEMBER - PERCEIVED VAL

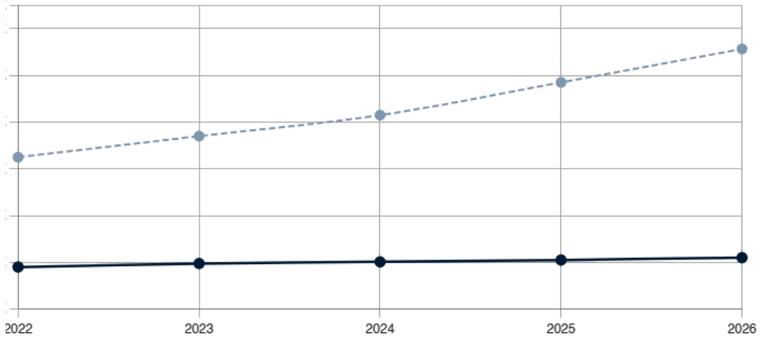
Where the ₹603 Cr sits by archetype?



Why Now?

Three Forces Converging

01. Gap (₹150k unused value widening)



₹1,50,630	~30%	+3–4%
Annual gap per card	Benefit utilization rate	Gap widening YoY

Why Now?

Three Forces Converging

02. The devaluation wave - Most Timely Anchor

Sept 2025

Suspended domestic airport lounge services after Adani Digital, Semolina Kitchens, Encalm Hospitality ended partnerships

Dreamfolks (lounge aggregator)

Ecosystem disruption cards lose guaranteed lounge access

Q1 2026

Card discontinued for new applicants only existing holders retain

Axis Atlas

Market consolidation signal

2 April 26

Accor, Marriott, Qatar Airways **removed as transfer partners**

Axis Magnus & Atlas

Atlas holders **losing 88%** of best-case hotel value (from ₹85K/yr to ₹10K/yr on ₹10L annual spend)

1 April 26

Retention gate introduced: **Must spend ₹18 lakhs annually** or **maintain ₹50 lakhs** relationship value

HDFC Infinia

Highest-tier card now has conditional benefits

Members are experiencing across-the-board devaluation; Premier Card is the only card refreshing with MORE value, not less

03. Macro Wallet Consolidation Squeeze

Fewer Cards per Wallet	+	Spend Concentration	=	Urgent Retrenchment
3.2 → 2.4 cards/house		**+25.6% spend per card (-7.5% base)**		**Unfelt value = churn**

STRATEGY & BENEFITS DESIGN: Solving the Relevance Gap

New Benefit Stack: Built around measured utilization gaps

₹53,200	₹13,849	3.84x	₹6,151
Face Value Delivered	Issuer Net Cost	Leverage (Face ÷ Cost)	Headroom vs ₹20K Ceiling

Layer 1: Existing Card Benefits

Layer 2: Always On (100% of card base)

Benefit	What is does
Value Ledger	Real-time in-app tracker showing value used vs total, auto-enrolled, warns 90 days before renewal on unused value
Progressive Milestone Ladder	Replaces the ₹20L cliff with vouchers at ₹5L, / ₹10L, / ₹15L, / ₹20L spend. Redeemable at Taj Postcard. Ajio Luxe, Ethos
Big-Ticket Digital Advantage	Pre-approval badge for ₹5L. Online purchases, 180 - day extended purchase protection, price-drop protection

Layer 3: Choice Modules (4 active, 2 in reserve)

Benefit	What is does
Premium Ground Mobility	Discounted **Uber Black** rides, priority matching, advance booking, chauffeur bookings
Culinary Access	Held **tables at ~100 top restaurants**, monthly dining credit, 4 exclusive chef's-table dinners/year
Luxury Digital Retail	Monthly budget across luxury platforms, **early access to drops**, DHL-managed international buying
Preventive Health	2 comprehensive **health panels/year**, home collection, 10 teleconsults/year, concierge second opinions
Culture & Events	**Pre-sale ticket windows**, priority access to marquee venues/festivals, event credits
Premium Household Services	Monthly home-services credit, **deep cleaning**, AMC, pest control, luxury laundry

Benefit Exchange Engine

"We let customers realize more of the benefits Amex is already paying to offer"

Layer 1: Customer Relevance $R_{ij}=P(\text{customer uses benefit}_j)$	**Customer spends on luxury** 40% *predicted usage*	**Customer spends on entertainment** 60% *predicted usage*
Layer 2: Customer Value $CV_{ij}=\text{Benefit Value}_j \times R_{ij}$	**Customer-facing value = ₹12,000** *Expected Amex cost = ₹3,960*	**Customer-facing value = ₹9,700** *Expected Amex cost = ₹2,200*
Layer 3: Amex Cost Guardrail $AEC_{ij}=R_{ij}\times Cost_j,\ AEC_{new} \le AEC_{old}+\epsilon$	**40% x ₹3,960 = Expected Cost** *~₹1600*	**60% x ₹2,200 = Expected Cost** *~₹1300*

Model

Exchange is budget-neutral by design → Expected $Cost_{new} \le Exchange\ Budget_{old}$

EXCHANGE

- Customer swaps a low-relevance benefit for a high-relevance one.
- The customer doesn't exchange face value for face value, they exchange for what they'll actually use.

COST GUARDRAIL

- Every exchange must stay within the original benefit's expected cost.
- Entertainment selected only if its expected cost ≤ ₹1,600 → 60% × ₹2,200 ≈ ₹1,300 ✓
- If no suitable benefit fits → no exchange

AMEX WIN

- Same benefit economics → higher customer realization
- Expected cost to Amex also drops (~₹1,600 → ~₹1,300)
- Customer ends up with a benefit they're actually likely to use

Vendor Benefit

High Intent Customers + Better Targeting	**"Friction = Intent" Exchange becomes the intent signal**
Measurable ROI	**Pay for realized engagement, not blanket distribution**

Retention Loop



STRATEGY & BENEFITS DESIGN: Solving the Visibility Gap

Benefit Utilisation Engine

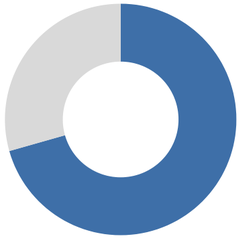
Who Gets What, and Why

Classical ML computes the recommendation; the LLM only writes the member-facing copy.

40K synthetic cardholders › Root-cause labeling › Propensity scoring (LightGBM, AUC 0.91) › Knapsack allocator (≤ ₹20K/card) › Personalised copy + RM briefs

1. INPUTS & DIAGNOSIS

- **40,000** synthetic cardholders
- calibrated to Amex India FY25 financials
- **~3M transaction records** modeled over 12 months
- 5 behavioural archetypes · 13 benefits tracked



₹602.5 Cr total benefit gap

- ₹429 Cr addressable (70.6%)
- ₹173 Cr structurally unaddressable (29.4%)

2. ALLOCATION LOGIC

- **Budget ceiling:** ₹20,000 per card (hard-cap, PS constraint)
- **Committed to design:** ₹13,849 (Layer 2 + Layer 3)
- **Headroom for nudges:** ₹6,151/card
- **Propensity model:** LightGBM, out-of-fold AUC 0.91
- **Validation:** StratifiedGroupKFold → no member scored by a fold that trained on them (leak-proof)
- **Nudge cost:** redemption cost + ₹50 delivery, funded only from the ₹6,151 headroom

GREEDY KNAPSACK OPTIMIZER

maximize $\sum_{i=1}^{n} (\text{Propensity}_i \times \text{Value}_i)$

subject to $\sum_{i=1}^{n} \text{Cost}_i \leq ₹20{,}000 \ / \ \text{card}$

3. MEMBER PROOF

- **Archetype:** Underused Premium
- **18% → 64%** projected utilisation post-engine

LIVE DASHBOARD

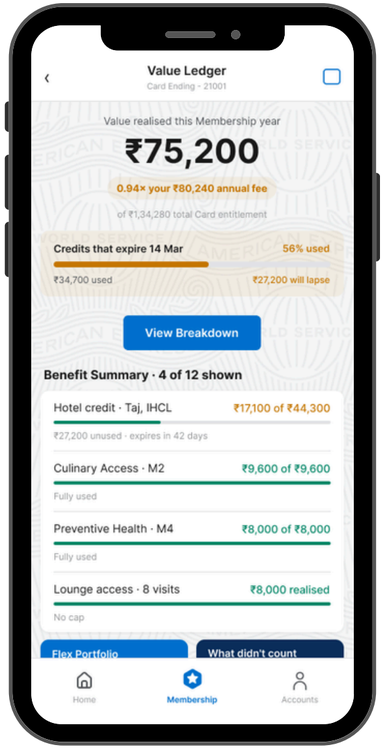
Portfolio · Gap · Propensity · Optimizer · Drilldown · Data Quality

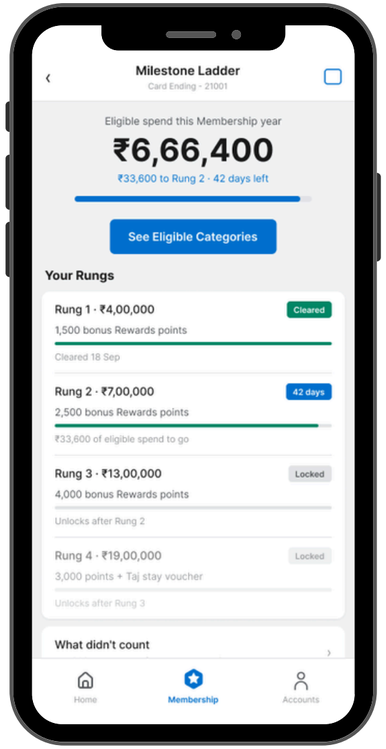
ENGINE-RECOMMENDED (RANKED BY PROPENSITY)

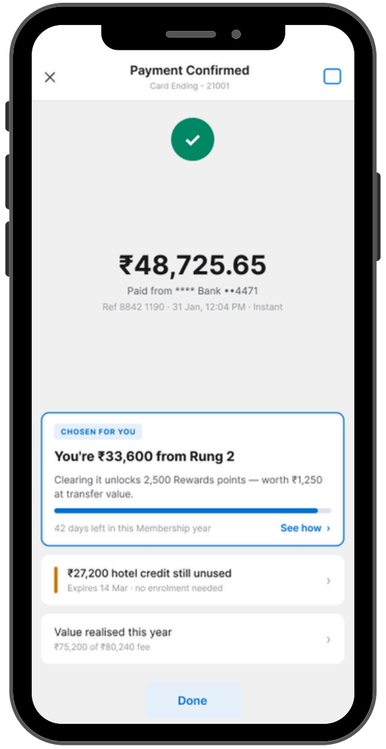
1. Culinary Access (M2) — ₹18K face — 78% propensity
2. Ground Mobility (M1) — ₹14K face — 61% propensity
3. Luxury Digital Retail (M3) — ₹20K face — 52% propensity

Source: https://rbi.org.in/scripts/ATMView.aspx

Voice of Customer (VoC) to Product Strategy







Data Highlights (1,000+ Reviews Scraped)

4.3★ Overall rating — but deep-usage dissatisfaction jumps to **36%** negative

31 reviews & **280** votes -> requested spend/milestone trackers

5.6% mention benefits with servicing -> app functions as a bill portal, not a value engine

Objective: Shift app positioning from a passive billing utility to a **proactive Value & Retention Engine**

Solution: 8-Screen Product Flow

An interconnected 8-Screen Product Flow (**Home, Value Ledger, Benefit Detail, Flex Portfolio, Milestone Ladder, Exclusion Ledger, Smart Nudges, Renewal Preview)** addresses key **friction points** to eliminate spend disputes, accelerate milestone spend, and protect annual renewals via dynamic **ROI proof of value**.

***Research Links**

CUSTOMER VALUE STORY

Three archetypes before and after Platinum 365

Value shown = benefit value the member actually consumes, not benefit value printed on the card

A — Aarav Menon

34 · Bengaluru
Product lead · 4 yrs on card

UNDERUSED

₹9.4L annual spend · 1 international trip · 0 golf rounds · dines out 6×/month · rides 18×/month

Today

ROOT CAUSE = IRRELEVANCE

"I'm paying for a travel card and I travel once a year. The rest just sits there."

Value consumed ₹15,436 — FEE — of ₹53,700on card

0.29× value-to-fee at ₹60,000 fee

With Platinum 365

FIX = CHOICE MODULES

- *Activates M1 Ground Mobility + M2 Culinary Access — the two modules his own transactions predicted*
- *Exchange: 1 unused golf round (₹8,000 issuer cost) → ₹6,000 dining credit*
- *Value Ledger shows a live ₹ counter and warns 90 days before anything expires*

Value consumed ₹78,600 — FEE — of ₹1,04,900 on card

1.16× value-to-fee at ₹68,000 fee

M — Meera Iyer

41 · Mumbai
Business owner · 6 yrs on card

MILESTONE

₹17.2L annual spend · ₹1.8L short of the ₹19L milestone · missed it two years running

Today

ROOT CAUSE = TIMING

"Twice I've come close and got nothing. The second year, I stopped trying."

Value consumed ₹36,500 — FEE — of ₹53,700 on card

0.68× value-to-fee at ₹60,000 fee

With Platinum 365

FIX = MILESTONE LADDER

- *Progressive Milestone Ladder vests vouchers at ₹5L / ₹10L / ₹15L — the ₹19L cliff stops being all-or-nothing*
- *Big-Ticket Digital Advantage pre-approves a ₹2.1L purchase on-card, closing the ₹1.8L gap*
- *Ladder progress is visible in-app all year, not discovered in month 11*

Value consumed ₹78,600 — FEE — of ₹1,04,900 on card

1.42× value-to-fee at ₹68,000 fee

R — Rohan Bhatia

48 · Delhi NCR
The persona the card was built for

HIGH / WHALE

₹38L annual spend · 6 international trips · lounge 40×/yr · already a heavy benefit user

Today

ROOT CAUSE = AWARENESS

"I like the card. But at renewal I can't tell you what it gave me — and three rivals are calling."

Value consumed ₹66,600 — FEE — of ₹53,700 on card

1.24× value real, but invisible at renewal

With Platinum 365

FIX = VALUE LEDGER

- *Layer 1 travel benefits untouched — nothing he already loves is taken away*
- *Adds M4 Preventive Health + Digital-First Concierge; ₹6,151 headroom funds the upgrade*
- *Renewal Preview screen shows the year he actually had — a proof moment, not a price moment*

Value consumed ₹1,12,000 — FEE — of ₹1,04,900 on card

1.65× value-to-fee at ₹68,000 fee

Why they Care?

each root cause get a mechanism not a message

1. AWARENESS Value is invisible

- Rohan (High) | Value Ledger: Live counter + year-in-review proof at renewal
- Data: Auto-enrol converts 47.6% vs claim-based 23.0%

2. IRRELEVANCE — Benefit doesn't match how I live

- Aarav (Underused) | Layer 3 Swap: Golf → Culinary + Mobility
- Data: ₹8K golf cost freed, redeployed to daily-use modules

3. TIMING — I miss the milestone cliff

- Meera (Milestone) | Milestone Ladder: ₹5L→₹2K | ₹10L→₹4K | ₹15L→₹6K | ₹20L→₹35K
- Data: 3 wins per year instead of zero

4. FRICTION — Claiming benefits is work

- All three | Auto-enrol + Digital Concierge: Day 1 auto-on, WhatsApp not calls
- Data: 2× conversion rate (47.6% vs 23.0%)

Why they stay?

renewal intent & attrition impact

RENEWAL BEFORE - ₹60K fee

- "Did I travel enough to justify the fee?"
- "What was the actual value I got?"
- "Competitor is offering ₹10K welcome bonus..."

RENEWAL AFTER - ₹68K fee

- "Look, here's what I used: ₹__ in benefits + ₹__ in rewards."
- "I chose 2 modules that match my actual spend."
- "The fee increase is ₹8K. The value increase is ₹___."
- "The card just got 2x better personalized for me."

10% → 9% Attrition impact **(the #1 NPV lever)** → **₹21 Cr NPV per ±7pp** swing ; Every 1pp of retention = **₹3 Cr NPV gain**

BUSINESS IMPACT FLYWHEEL

ENGAGEMENT
₹53,200
perceived value/card/yr

Value Ledger auto-on. Milestone Ladder visible monthly. 63% of spend in uncaptured "Other" category.

SPEND
+₹3,407
disc. revenue/card · base case

+8% spend uplift. M2 Culinary + M6 Household route daily transactions. ₹19.01L blended mean anchored to milestone.

CHURN
10% → 9%
churn · each 1pp = +₹3 Cr NPV

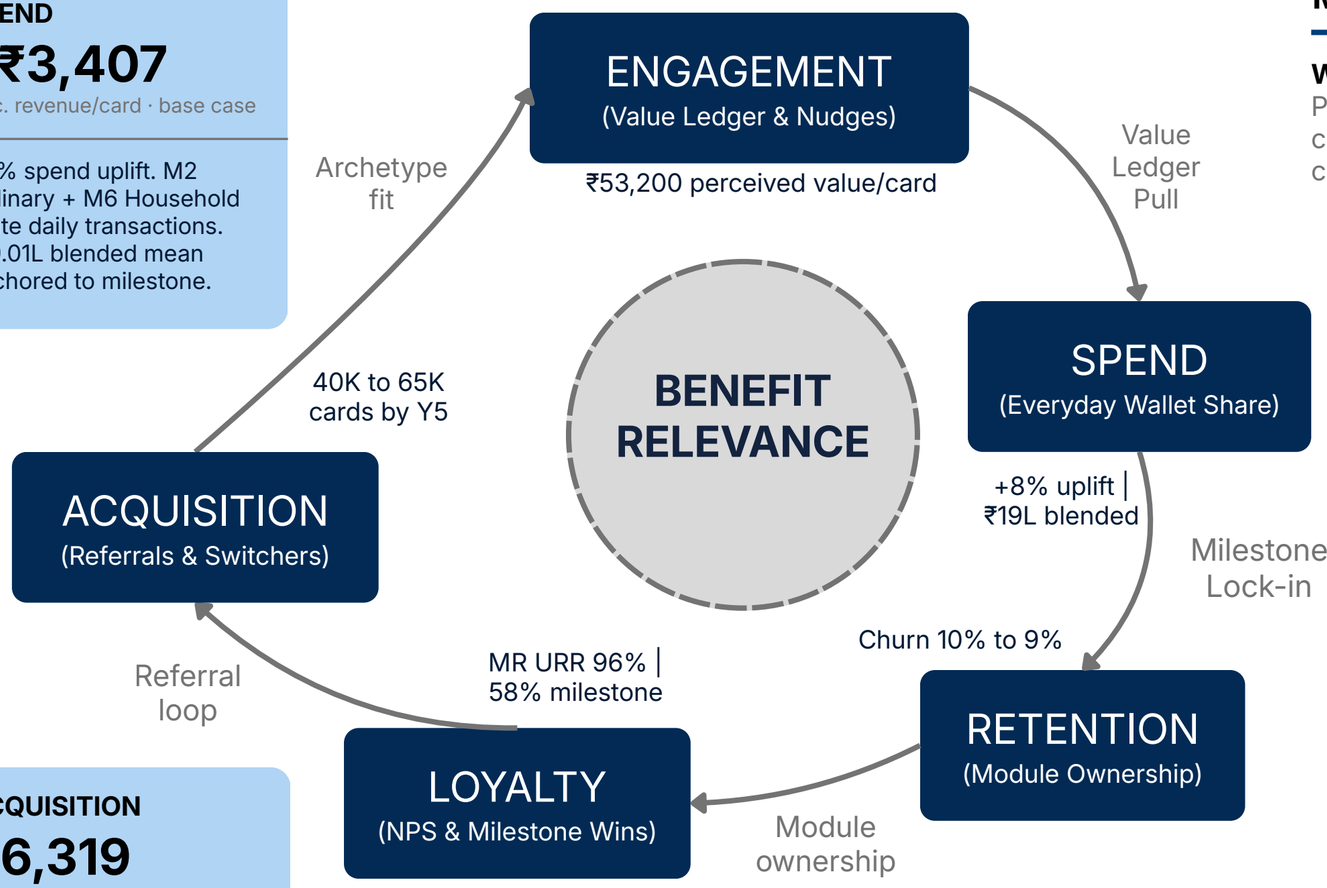
Module ownership creates sunk cost. Ladder replaces cliff-edge renewal voucher. 92.8% fee acceptance at ₹68K.

VALUE LEVERAGE
3.84x
₹39.35K of perceived value created beyond issuer cost

₹53.2K of perceived annual value delivered at just ₹13.85K net cost/card, while staying ₹6.15K below the ₹20K benefit-cost ceiling.

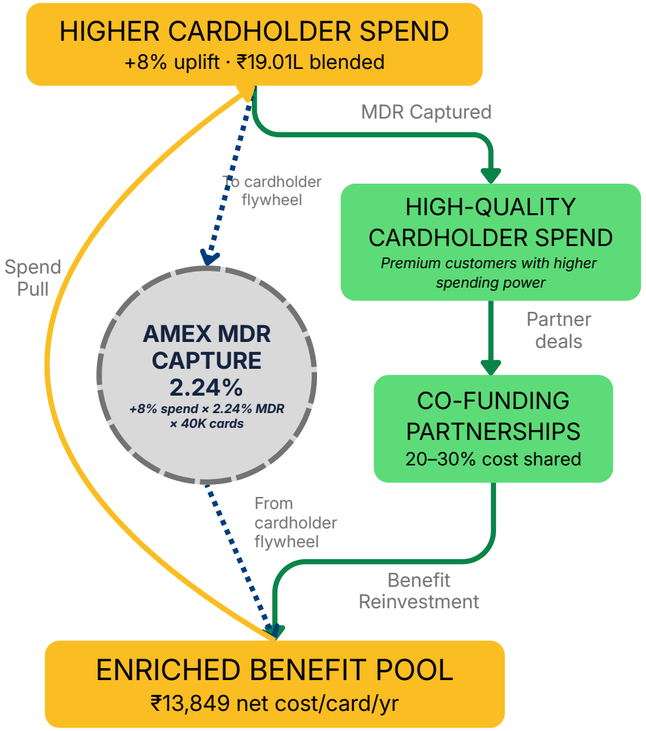
ACQUISITION
+6,319
incremental cards vs no-action Year 5

+15% Y1 acq uplift (base). Infinia gate displaces premium seekers. CAC ₹43,500 · referral-sourced cards cheaper.



Merchant Side loop

Why merchants co-fund 20–30%?
Premier Card members self-select into the merchant's category when they activate a module. Not a generic card deal. A qualified lead pipeline.



HEADLINE STATS

INCREMENTAL SPEND/CARD
₹8,435
incremantal cards

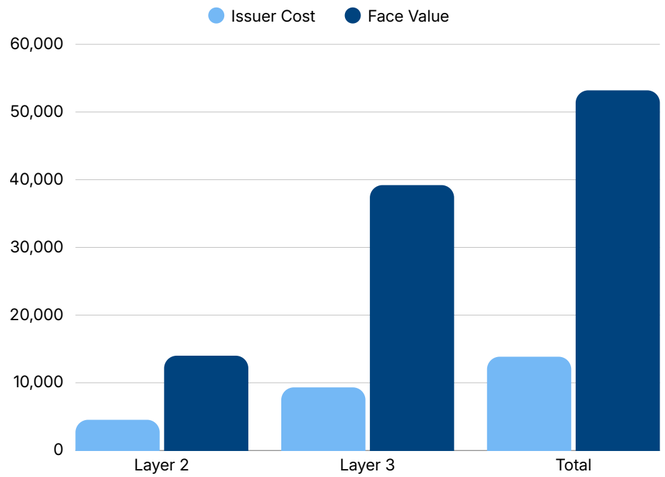
CARD BASE GROWTH
40K → 65K
+63% over 5 years vs counterfactual

5-YEAR NPV
₹184 CR
@ 8.3% WACC payback Y1

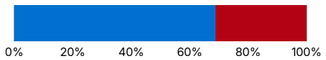
ROI / VALUE ECONOMICS

Link to Detailed P&L Analysis

01. Cost vs the ₹20K Ceiling



Headroom Unspent: ₹6151



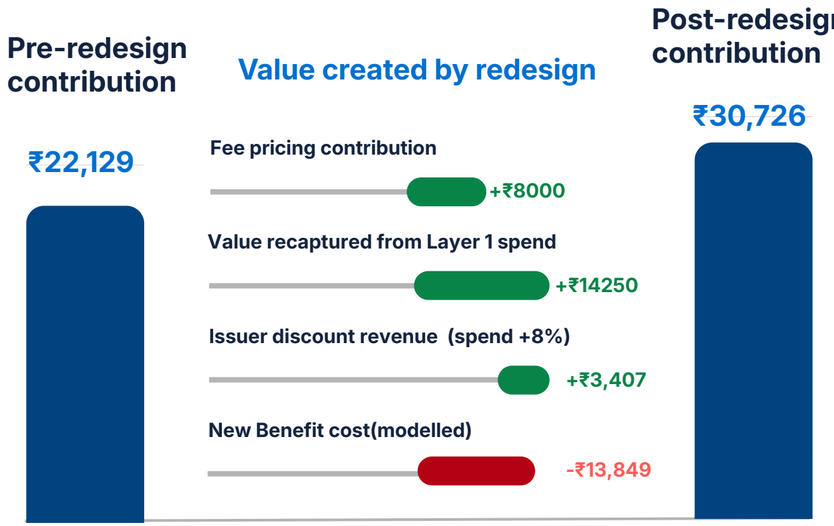
69% committed 31% headroom

₹13,849
New benefit cost per card

Layer 1 retained cost (₹38,900) sits outside the cap - it is existing spend, not incremental. Even the heaviest segment (Whale, ₹45L spend) lands at ₹18,483, still inside the ₹20,000 ceiling.

02. How the redesign creates value

Per card, per year



+₹8,597
Net Incremental Contribution Per Card, Per Year

Reclaim = reshape golf (₹3,000) + resize Fine Hotels credit 50% (₹7,400) + supersede renewal voucher with Miles threshold (₹3,850). Designed to retain core premium travel while reallocating economics toward higher-frequency lifestyle benefits.

03. The 5-Year Return

Scenario	Spend	Attrition	5-yr NPV
Downside	-5%	11%	**₹120 Cr**
Base case	+8%	9%	**₹184 Cr**
Upside	+15%	7%	**₹225 Cr**

Every scenario clears zero — even –5% spend with 15% attrition stays NPV-positive.

What actually drive the NPV

Lever	NPV swing
1 · Attrition rate ±3pp	**₹21 Cr**
2 · Discount rate ±2pp	**₹18.5 Cr**
3 · Spend uplift ±10pp	**₹9.5 Cr**

₹5.5 Cr Year 0 investment | 5-year cumulative FCF: ₹174.7 Cr

"Isn't this just a price increase?"

No. At ₹60K fee + 0% spend uplift: NPV –₹25.7 Cr. The redesign is what makes ₹68,000 collectible - 92.8% fee acceptance and attrition falling from 10% to 9%. The benefits earn the price; the price does not earn itself.

Model basis: 40,000 cards · fee ₹68,000 ex-GST vs ₹60,000 baseline · spend uplift +8% · attrition 9% vs 10% baseline · fee acceptance 92.8% · WACC 8.3% · MR ₹0.26/pt · Y0 investment ₹5.5 Cr (app build + launch marketing) · Source: Platinum 365 financial model, Tabs 3–6

Sources
https://www.cnbc.com/2025/09/18/american-express-platinum-card-refresh-895-fee-3500-perks.html
https://rbi.org.in/scripts/ATMView.aspx

THANK YOU

Team Thinkers

Vansh Bhandari Muskan Shlok Suraiya

APPENDIX



Annual Report 2025 Amex

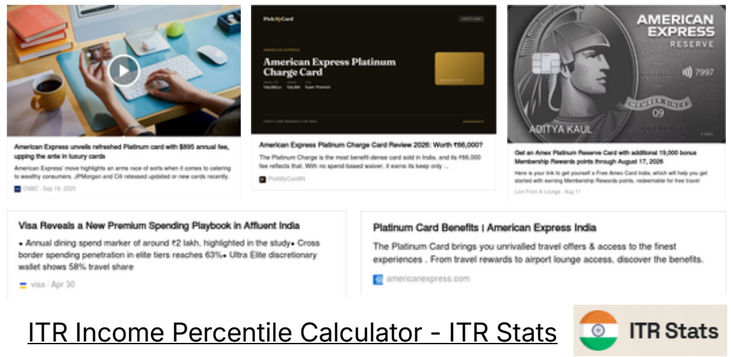
https://s26.q4cdn.com/747928648/files/doc_financials/2025/ar/American-Express-Annual-Report-2025.pdf

Reserve Bank of India

Bankwise ATM/POS/Card Statistics

https://rbi.org.in/scripts/ATMView.aspx

OTHER SOURCES



ITR Income Percentile Calculator - ITR Stats

Survey Responses

https://docs.google.com/spreadsheets/d/1J-zN0MClO-kDuXfpF55HYzzU1w8Z00lZMoqt1oATvoQ/edit?gid=140252970#gid=140252970

Benefit Utilization Dashboard

https://amexcreditutilisationdashboard-yutxh6avmztrxh7gns2nnr.streamlit.app/

Synthetic Data Generation

https://github.com/musk1n/Amex-R2/blob/main/Generating%20data%2040k.ipynb

synthesized based on →

RBI Data

https://rbi.org.in/scripts/ATMView.aspx

App Reviews - Scrapped & Tagged

https://drive.google.com/file/d/1yqGdlExlK0DEQ6gG7hAH6_TX6KCkflay/view?usp=sharing

Mockup Deployed

https://platinu-charge-thinkers.lovable.app/

Amex App Mockup - for the Strategy

https://www.figma.com/design/9acEjhQFQtFAbxQAA6k6V8/Amex-mockup?node-id=0-1&t=fwqKx42Ex3PKkwYl-1

Figma Prototype for the Mockup

https://www.figma.com/proto/9acEjhQFQtFAbxQAA6k6V8/Amex-mockup?node-id=66-24&p=f&t=Mmw9MA8dad9BjJNe-1&scaling=min-zoom&content-scaling=fixed&page-id=66%3A23

Amex Profit and Loss Analysis

https://docs.google.com/spreadsheets/d/1DM9A5hDk6yNbZUzqu7nozQ8bKxzN9FyF/edit?rtpof=true&sd=true

Research Document

https://docs.google.com/document/d/1oZYiaXBovfsy6buABO3wim-x_951xRN_zN7cG7lceys/edit?usp=sharing